



Advanced Financial Management Infocus (December 23)

Rashaad Hussain, expert tutor

Welcome! Rashaad Hussain



- Over a Decade of experience in filed as Educator, Mentor & Consultant.
- CFO at Finscript Business Consultants Limited, leading multi-disciplinary firm promoting economic upliftment through integration of technology with finance, accounting & law.
- Renowned for his experience in tutoring ACCA papers, particularly FM and AFM, he has guided & nurtured numerous candidates to rank holders.
- Delivered numerous ACCA training and webinar sessions for candidates and delivered number of “Train the Trainer” Workshop.
- Tailoring his teaching methods to individual needs, he foster a supportive learning environment that inspires growth and achievement.

Agenda

- AFM Study Hub
- Quick Exam Tips
- Mock Exam
- ACCA Key Resources
- Most Asked Question
- Live Q & A Session



Poll

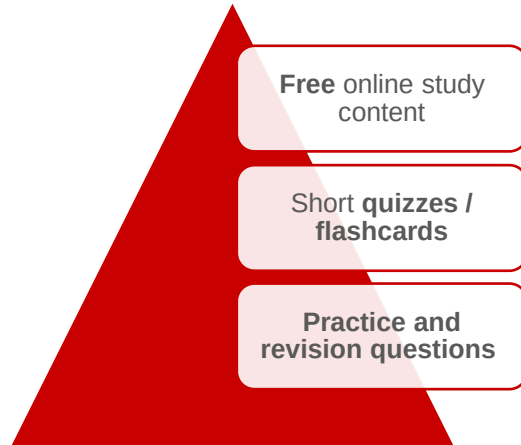
Q. Have you accessed the AFM Study hub?

- a. No idea of what it is.
- b. No, I intend to access them.
- c. Yes, just started
- d. Yes, completed it.

The Study Hub

An exclusive digital platform providing free access to study materials for students globally

What does it include?



How to access it?



Study Hub – 3.3 Growth From Past Dividends

Activity 2 Growth Using Extrapolation

Show

A company has paid the following dividends over the last five years:

	Dividend per share
20X0	\$1.00
20X1	\$1.10
20X2	\$1.25
20X3	\$1.36
20X4	\$1.45

Required:

Estimate the growth rate and the cost of equity if the current (20X4) ex-div market value is \$10.50 per share.

Activity 1 Cost of Equity

The equity beta of a company is estimated to be 1.2 and the risk-free return is 3%.

Required:

Estimate the cost of equity of the company if:

- a. the market risk premium is 5%; and**
- b. the expected return on the market portfolio is 9%.**

Study Hub – 6.3.2 MIRR

Activity 7 MIRR

A project has the following forecast cash flows:

T_0	T_1	T_2	T_3	T_4
(34,000)	7,600	16,500	13,000	6,600

The company's cost of capital is 8%.

Required:

Estimate the MIRR.

Study Hub – 6.3.2 MIRR

Activity 7 MIRR

A project has the following forecast cash flows:

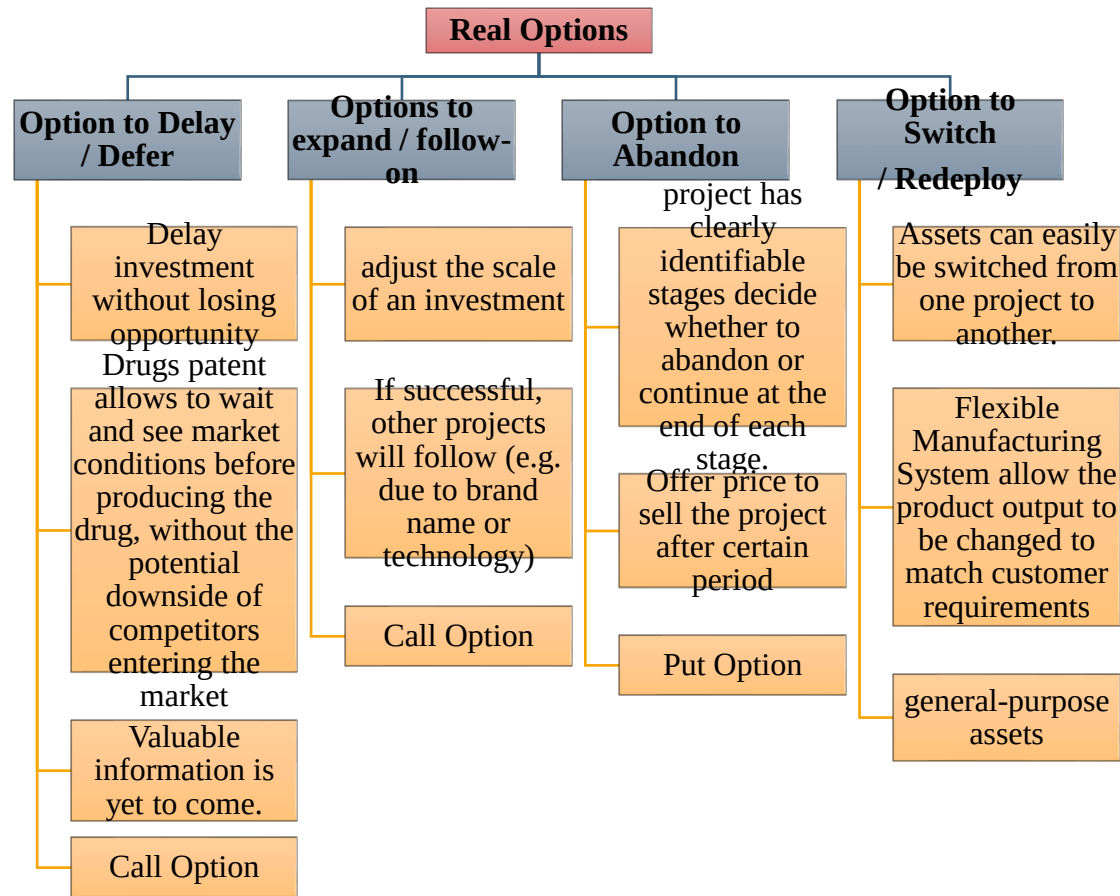
T_0	T_1	T_2	T_3	T_4
(34,000)	7,600	16,500	13,000	6,600

The company's cost of capital is 8%.

Required:

Estimate the MIRR.

G2		f_x		=MIRR(B2:F2,8%,8%)				
	A	B	C	D	E	F	G	
1	Year	0	1	2	3	4		
2	Cash flows	-34000	7600	16500	13000	6600	9.8%	
3								



Study Hub – 7.4.1 Value of Ordinary Shares

Activity 3 Growth's Effect on Valuation

The following information is available for Claygrow Co:

Current dividend	\$0.25 per share
Required return on equities in this risk class	20%

Required:

Value one share in Clay grow Co assuming the following:

- i. No growth in dividends.
- ii. Constant dividend growth of 5% per annum.
- iii. Constant dividends for five years and then growth of 5% per annum to perpetuity.
- iv. Constant dividends for five years and then sale of the share for \$2.00.

Study Hub – 7.4.1 Value of Ordinary Shares

i. Constant dividend

$$P_0 = \frac{0.25}{0.2} = \$1.25$$

ii. Constant growth in dividend

$$P_0 = \frac{0.25(1.05)}{(0.2 - 0.05)} = \$1.75$$

Study Hub – 7.4.1 Value of Ordinary Shares

iii. Constant dividend followed by growth

PV of five years, dividend of \$0.25 pa ($\0.25×2.991)	\$0.748
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PV of growing dividend from year 6 onwards

$\frac{0.25(1.05)}{(0.20-0.05)} \times \frac{1}{1.2^5}$	\$0.703
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	\$1.451
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Study Hub – 7.4.1 Value of Ordinary Shares

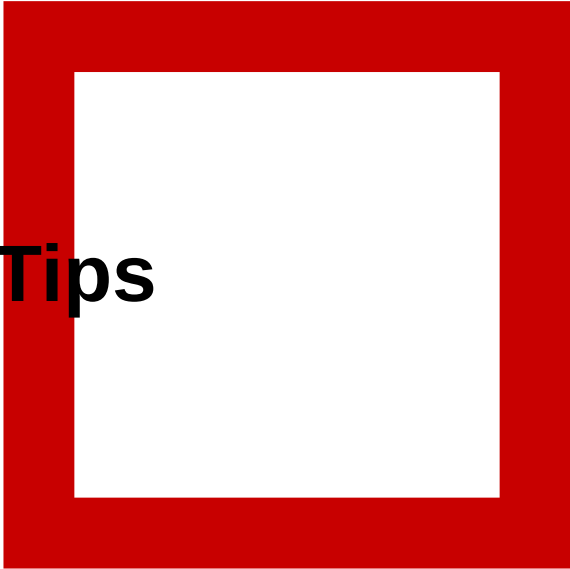
iv. Constant dividend followed by sale

Present value of five years' dividend of \$ ($\$0.25 \times 2.991$)	\$0.748
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Present value of \$2.00 in five years' $\left(\$2.00 \times \frac{1}{1.2^5} \right)$	\$0.804
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	\$1.552
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Exam Tips



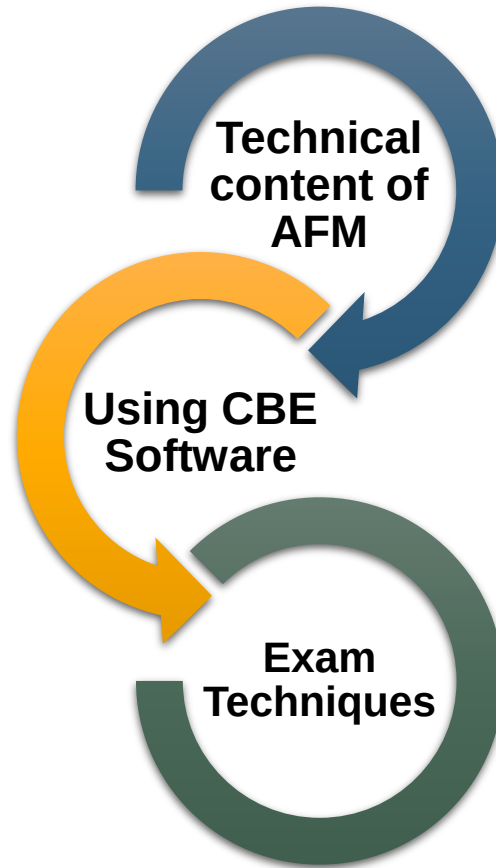
Quick Exam Tips

1. Structure into **appendices**
2. Draft detailed **working notes**
3. Exercise **Professional** Judgement
 - Make a recommendation or advice
 - Answers – Use Headings & new paragraphs
 - **Challenge information** in question
 - What does **work & doesn't** work in **real scenario**
4. Cover all Topics – No selective Study – don't **cherry pick**
5. One Idea – one mark – Quality over Quantity
6. **Attempt all** requirements
7. **Own figure Rule** – Entire marks are not for the final answer

Poll

Q. How do you practice questions?

- a. On Paper
- b. Excel Spread sheet
- c. ACCA Blank Workspace
- d. No



Practice Using Mock Exam

1. Exam Conditions
2. Timed
3. Don't **rush** through **narratives**
4. Compare your answers to the solution – Mark it
5. Practice again and again

KEY RESOURCES

1. ACCA Study Hub
2. Examiner's Report
3. AFM Mock Exam & Debrief Video
4. ACCA Practice Platform – Blank Workspace
5. Past Exam Library & Practice Exams
6. Technical Articles

An aerial photograph of a coastline, showing a sandy beach on the left and a deep blue ocean on the right. A white, wavy line marks the edge of the beach. In the center of the image, there is a semi-transparent square frame. Inside this frame, the text "Most Asked Questions" is written in a large, white, sans-serif font.

Most Asked Questions

An aerial photograph of a beach with a wide expanse of sand on the left and turquoise water on the right, separated by a white surf line. The image is used as a background for the slide.

What we have to do for 20 Professional Marks ?

Communication



- ☐ **Heading**, Sub-heading
- ☐ Very Brief Introduction & Explain **content** that follow
- ☐ Appropriate language – **clear & concise**
- ☐ Structure - Calculations into **appendix**

Analysis & Evaluation



- ☐ Use of **appropriate data** / information
- ☐ **Further analysis** required
- ☐ Mention **lack of data**
- ☐ Balanced appraisal leading to **justified conclusion**

Skepticism

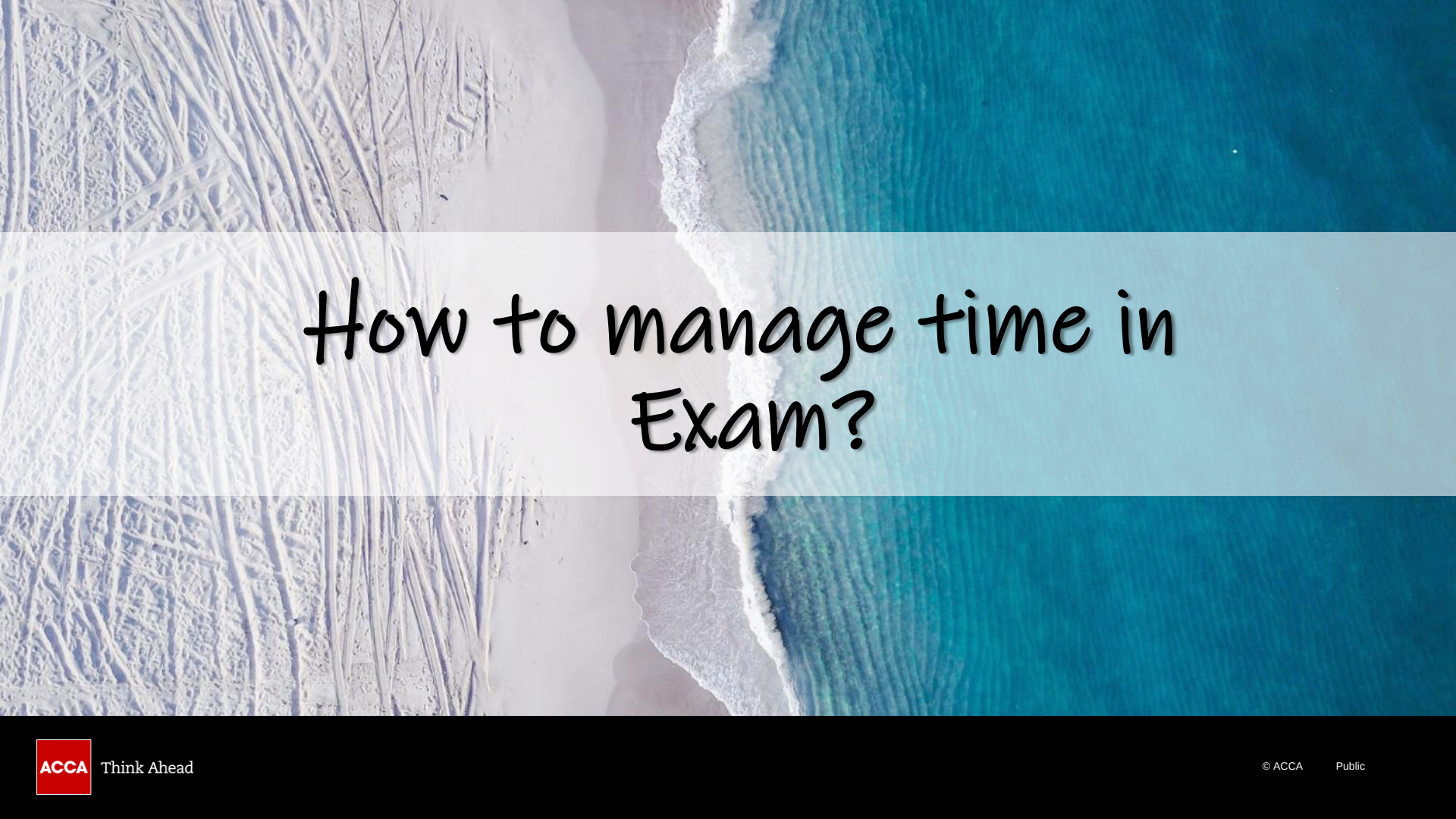


- ☐ Questioning **approach**
- ☐ **Challenge of information** & evidence provided
- ☐ Stating **Problems with assumptions**
- ☐ **Professional Judgement** to draw conclusion

Commercial Acumen



- ☐ What does work & doesn't work **in real scenario**
- ☐ Practical commercial considerations
- ☐ **Internal & External environment** and constraints
- ☐ Possible consequences of **past & future actions**

An aerial photograph of a coastline. On the left, a sandy beach is visible with numerous footprints and tracks. To the right, the ocean is a deep blue with white foam from breaking waves. A semi-transparent light blue rectangular box is centered over the image, containing the title text.

How to manage time in Exam?

Time Management Easy mark strategy

- Section A - Q1
60 minutes – Clear easy questions
- Section B – Q2
30 minutes - Clear easy questions
- Section B – Q3
30 minutes per questions - Easy marks first

Balance Time

180 minutes – (30+ 30+ 30 + 30)

- 60 minutes balance

Go back– Clear difficult questions – 45 minutes

Recheck all answers – 15 minutes

An aerial photograph of a coastline, showing a sandy beach on the left and turquoise ocean water on the right. A white horizontal band is overlaid across the middle of the image, containing the title text.

Risk Management

How to go about & frequent Mistakes ?



Why do we fail exams?



Main reasons - Why students fail ?

1. Not managing **Easy marks first**
2. **Unnecessary details** – repeating facts - temptation to expand
3. Poor **time** management
4. Writing skills – **Communication - Narrative**
5. Not answering **what is asked**
6. Missing **format, structure or template**



Few Recommended Technical Articles for AFM

1. Business Valuations
2. Using Real options while making financial strategy
3. Securitisation and tranching
4. Islamic Finance – theory & practical use of sukuk bonds
5. Exchange Traded foreign exchange derivatives
6. Currency Swaps

Question & Answer





Thank You

RASHAAD HUSSAIN
Expert Tutor



Think Ahead

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